LONG-FORM RESEARCH · ELECTION DAY

Midterms 2026: The Election-Day Guide for Investors

Americans vote today for all 435 House seats, 35 Senate seats and 36 governors. Prediction markets give Democrats about a 94% chance of winning the House and 77% for the Senate; forecast models are less certain. This guide sets out what is at stake, what is priced, the races that decide the Senate, what to watch hour by hour tonight, what history says about markets after midterms and how each outcome could affect sectors. It takes no position on the election.

Global Markets Research · Macro Desk Prepared by ANDRA MARKETS

~20%

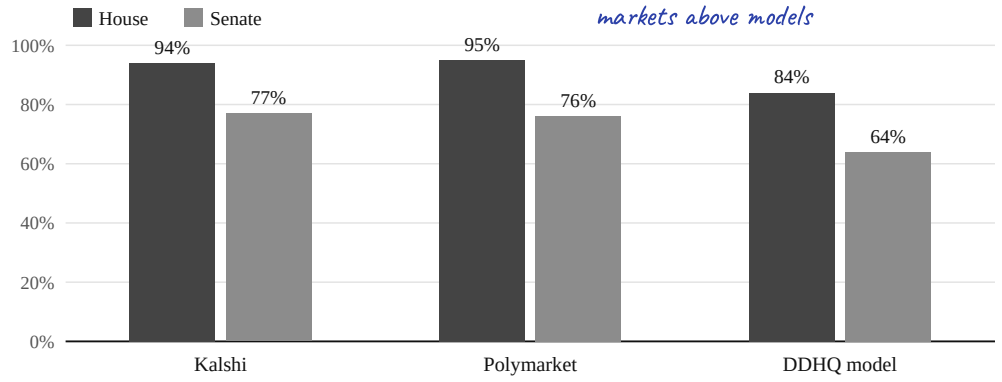
Coverage summary. Republicans hold the Senate 53-47 and a narrow House majority. As of election morning, Kalshi priced a Democratic sweep of both chambers at 75%, a Democratic House with a Republican Senate at 20%, a Republican sweep at 6% and a Republican House with a Democratic Senate at 1%; Polymarket's prices were similar. Decision Desk HQ's model is more cautious, at 84% for a Democratic House with about 241 seats and 64% for a Democratic Senate with 52 seats. Democrats need a net gain of three seats for the House and four for the Senate. The Senate hinges on races in Kansas, Iowa, Ohio, Alaska, Maine, Michigan and Texas, several in states President Trump won by double digits in 2024. More than 58 million people voted early, about 12 million more than in 2022. Investors have largely positioned for a Democratic House: in a Wolfe Research survey 96% expected it. The Senate is the variable markets have not fully settled.

priced before a single vote

markets > models

DEM. HOUSE ODDS	DEM. SENATE ODDS	DEM. SWEEP (KALSHI)	EARLY VOTES
~94%	**~77%**	**75%**	**58M**
Kalshi, 3 Nov	*DDHQ model 64%*	*R sweep 6%*	*+~12M vs 2022*

EXHIBIT 1. PROBABILITY OF DEMOCRATIC CONTROL BY CHAMBER, 3 NOVEMBER (%)



the gap: ~13 pts

Sources: Kalshi and Polymarket via Rotowire and Oddschecker; Decision Desk HQ forecast (4:45 pm ET, 3 Nov 2026).

1.0 Executive Summary

Key takeaways

~94%

The House is the consensus. Markets price a Democratic House at about 94%, DDHQ at 84%. Mid-decade redistricting in several states shifted some seats towards Republicans, but the national environment, with 52% of registered voters preferring Democratic control in NBC's final poll against 45% for Republicans, points the other way.

House: priced

The Senate is the real contest. Democrats must gain four seats, which means winning at least two in states Trump carried comfortably. Markets moved sharply in the final week, from 67% on 28 October to 77% this morning, while DDHQ is at 64%.

Two races are near coin flips. In Kansas Democrat Adam Hamilton leads Republican Senator Roger Marshall by 3.6 points in the RealClearPolitics average and Kalshi gives him 64%; in Iowa Republican Ashley Hinson is a slight favourite at about 57% against Josh Turek.

Affordability dominates. Inflation and the cost of living lead every poll. Democrats have campaigned against tariffs and the cost of the Iran war; Republicans on the 2025 tax cuts, border security and lower drug prices, and are spending about twice as much on Senate advertising.

History favours the months after. The S&P 500 rose in the year after 18 of the 19 midterms since 1950 by our calculation; Morgan Stanley finds gains averaged 23% under a Republican president with a divided Congress and 16% when Democrats held both chambers.

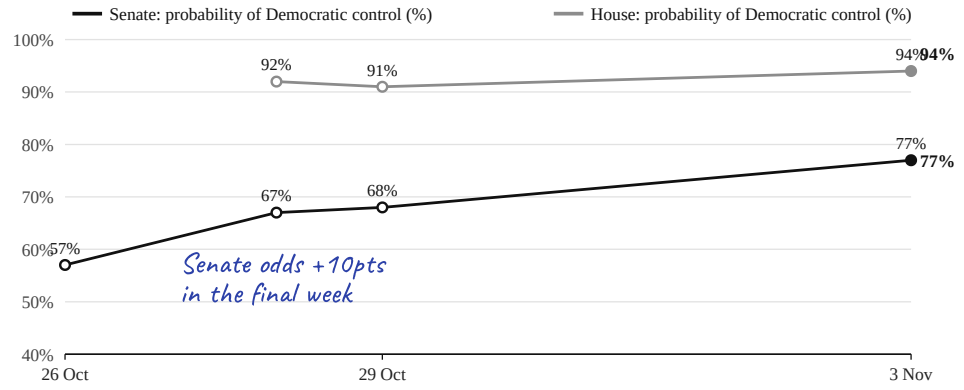
Our reading. For the index, Citi calls the vote a "non-event"; for sectors it matters. Healthcare, defence, banks, energy, crypto and AI regulation are the most exposed. Late or disputed counts in close Senate races are the main short-term risk. This report describes what is priced and what each party proposes; it does not predict the result.

2.0 What Is Priced

Markets, models and the final week

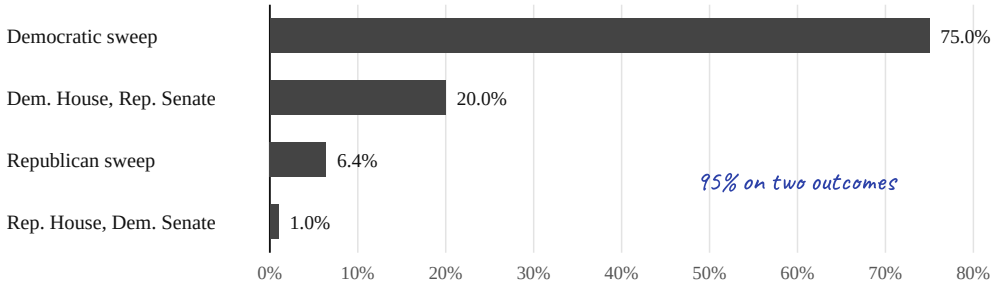
The final week brought the biggest move of the campaign. On 26 October DDHQ gave Democrats 57% for the Senate; by 28 October Polymarket had them at 67% and Kalshi at 64% to 68%; on election morning both markets were at 76% to 77%. House odds edged up from 91%-92% to about 94%. Kalshi's combined-control market had traded about $107M by Tuesday morning and its House market more than $224 million. Markets and models agree on direction but not on confidence: the gap of about 13 points on the Senate reflects how many races are within the margin of error. Prediction-market prices reflect traders' expectations, not polls, and both have been wrong before.

Exhibit 2. Market-implied probability of Democratic control, final week (%)



Sources: DDHQ via NewsNation (26 Oct, Senate); Polymarket and Kalshi via Yahoo News (28-29 Oct); Rotowire and Kalshi (3 Nov).

Exhibit 3. Kalshi combined-control prices, 3 November (%)



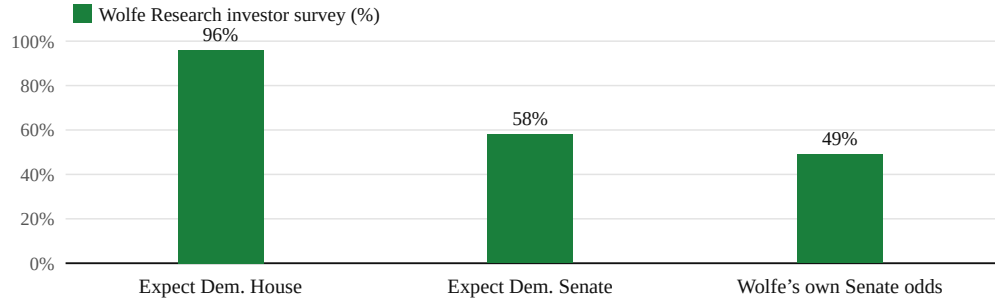
Source: Kalshi congressional balance-of-power market, 7:17 am ET, 3 November 2026.

~96%

Investors are positioned for the same outcome. Wolfe Research found that 96% of 138 investors surveyed expect a Democratic House and 58% a Democratic Senate, though Wolfe itself puts the Senate at 49%. The S&P 500 was at 7,621 on 2 November, up 10.8% this year, after a sharp sell-off in technology on 30 October. BTIG notes that midterm years typically see a 14% drawdown at some point in the second half; this year the market has instead stayed near records.

what Wall St expects

Exhibit 4. Wolfe Research investor survey (%)



Source: Wolfe Research via CNBC and Quartz, November 2026.

3.0 The Senate Map

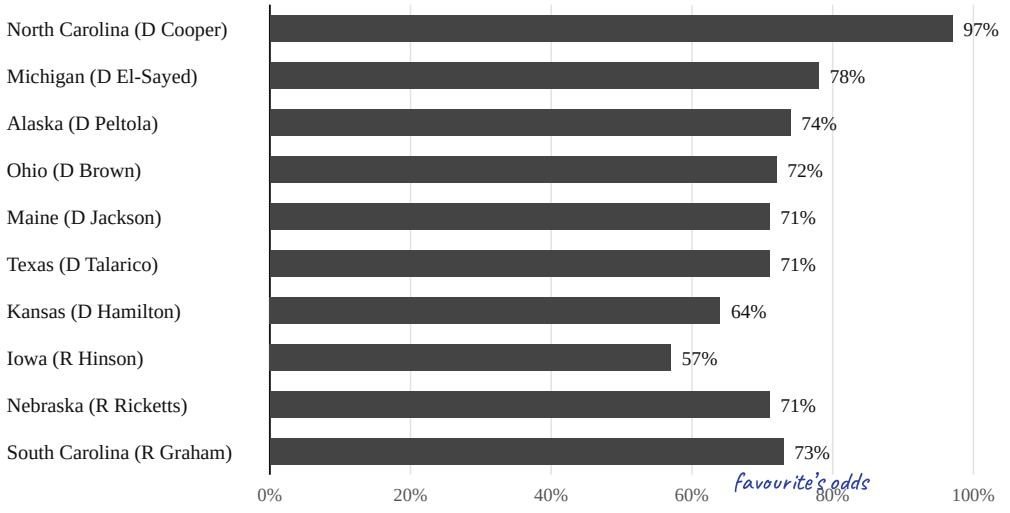
Ten races to watch

~72%

Republicans hold 53 seats. Democrats are favoured to hold Georgia, where Jon Ossoff leads by about nine points, and Michigan, an open seat where Abdul El-Sayed leads Mike Rogers, and to flip North Carolina, where Roy Cooper leads Michael Whatley by about ten. To reach 51 they would then need two more of Ohio, Alaska, Maine, Texas and Kansas, all Republican-held. Markets price Sherrod Brown at about 72% in Ohio's special election against appointed Senator Jon Husted, Mary Peltola at about 74% against Senator Dan Sullivan in Alaska, Troy Jackson at about 71% against Senator Susan Collins in Maine and James Talarico at about 71% against Ken Paxton in Texas. Republicans are favoured in Iowa, Nebraska, where independent Dan Osborn challenges Senator Pete Ricketts, and South Carolina. Kansas has not elected a Democrat to the Senate since 1932, which shows how unusual this map is.

53-47 today

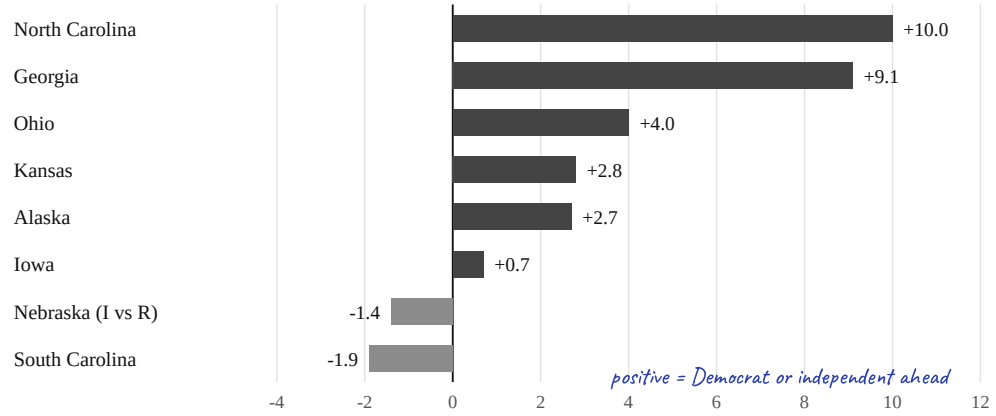
Exhibit 5. Senate races: favourite and market-implied probability, 3 November (%)



favourites, not results

Sources: Kalshi state markets (Texas, Maine, Michigan, Kansas); prediction-market averages via PredictionOdds (Iowa, Nebraska, Ohio, South Carolina, Alaska, North Carolina). Letters show the favourite's party; I = independent.

Exhibit 6. Senate polling averages: margin of the Democratic or independent candidate (points)



Source: Poliwave polling averages and projections, 2-3 November 2026; Kansas RCP average is Hamilton +3.6.

Exhibit A. Senate battlegrounds at a glance

State	Democrat / independent	Republican	Poll margin	Market favourite	Polls close (ET / CET)
North Carolina	Roy Cooper	Michael Whatley	D +10	Cooper ~97%	19:30 / 01:30
Georgia	Jon Ossoff (inc.)	Mike Collins	D +9	Ossoff	19:00 / 01:00
Ohio (special)	Sherrod Brown	Jon Husted (inc.)	D +4	Brown ~72%	19:30 / 01:30
Michigan	Abdul El-Sayed	Mike Rogers	D lead	El-Sayed ~78%	21:00 / 03:00
Maine	Troy Jackson	Susan Collins (inc.)	D +2 (proj.)	Jackson ~71%	20:00 / 02:00
Texas	James Talarico	Ken Paxton	D +3 (proj.)	Talarico ~71%	21:00 / 03:00
Kansas	Adam Hamilton	Roger Marshall (inc.)	D +3.6 (RCP)	Hamilton 53-64%	21:00 / 03:00
Alaska	Mary Peltola	Dan Sullivan (inc.)	D +3	Peltola ~74%	01:00 / 07:00
Iowa	Josh Turek	Ashley Hinson	~even	Hinson ~57%	21:00 / 03:00
Nebraska	Dan Osborn (I)	Pete Ricketts (inc.)	R +1	Ricketts ~71%	21:00 / 03:00
South Carolina	Annie Andrews	Darline Graham	R +2	Graham ~73%	19:00 / 01:00

Sources: RealClearPolitics; Poliwave; Kalshi; PredictionOdds; NBC News; CNBC (poll-closing times, last polls in each state). CET = ET + 6 hours. Market favourites are probabilities, not projections.

3.5 Race by Race

The Senate contests in brief

North Carolina and Georgia. Former governor Roy Cooper has led Republican Michael Whatley in nearly every poll, sometimes by double digits, for an open Republican-held seat; markets put him near 97%. In Georgia Democratic Senator Jon Ossoff leads Republican Mike Collins by about nine points in the polling average.

Ohio. Former senator Sherrod Brown, defeated in 2024, is running in the special election for the seat vacated by Vice President JD Vance against Jon Husted, appointed by Governor Mike DeWine. Polls show Brown ahead by about four points and markets about 72%. Bloomberg notes that Ohio had the largest percentage decline in Obamacare enrolment this year.

Michigan. An open seat. Democrat Abdul El-Sayed faces Republican Mike Rogers, who narrowly lost the state's 2024 Senate race; markets give El-Sayed about 78%, and a New York Times/Siena poll found voters aged 18 to 29 far more likely to support him than older voters.

Maine. Republican Senator Susan Collins, first elected in 1996, faces Democrat Troy Jackson. Markets give Jackson about 71% with a projected margin of about two points. Maine does not centrally report results on election night and uses ranked-choice voting, so a call may take days.

Texas. Democratic state Representative James Talarico faces Attorney General Ken Paxton for an open seat. Kalshi gives Talarico about 71% with a projected margin near three points; Texas has not elected a Democrat to the Senate since 1988. Collin County in the Dallas suburbs is a key indicator.

Kansas. Democrat Adam Hamilton leads Senator Roger Marshall by 3.6 points in the RealClearPolitics average, with recent polls ranging from Marshall +1 to Hamilton +4. Markets give Hamilton between 53% and 64%. Marshall won by 11 points in 2020; no Democrat has won a Kansas Senate race since 1932. Johnson County, the state's most populous, is decisive.

Alaska. Former Representative Mary Peltola challenges Senator Dan Sullivan. Polls give her a lead of two to three points and markets about 74%. Alaska uses ranked-choice voting and its first results arrive around 01:00 ET; the final count can take more than a week.

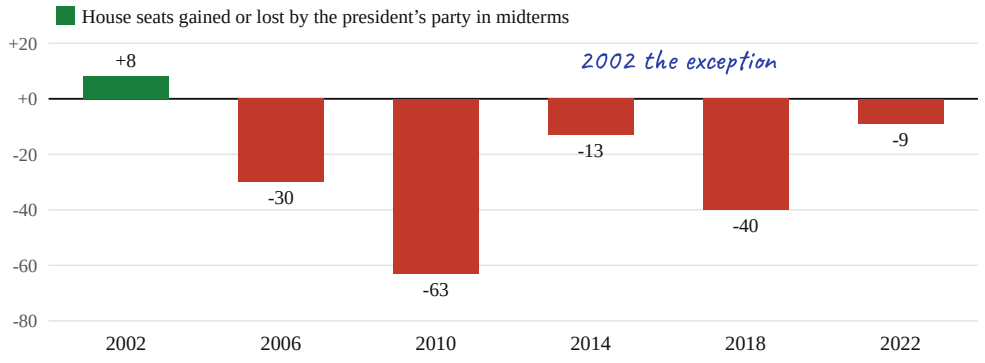
Iowa, Nebraska and South Carolina. In Iowa's open seat, vacated by Senator Joni Ernst, Republican Representative Ashley Hinson is a slight favourite at about 57% against Democrat Josh Turek; polls are roughly even. In Nebraska independent Dan Osborn, with no Democrat on the ballot, trails Senator Pete Ricketts by about one point. In South Carolina Republican Darline Graham leads Democrat Annie Andrews by about two points.

4.0 The House

Redistricting, the national vote and the margin

Democrats need a net gain of three seats. DDHQ projects about 241 Democratic seats, with ten districts rated toss-ups, including Texas 35 and 15, Florida 22 and 9, Colorado 3, Iowa 2, Montana 1, Ohio 7, Pennsylvania 1 and Maine 2. The 2025-26 mid-decade redistricting, pursued in several states to strengthen each party's position, makes direct comparisons with 2024 difficult. The broader pattern favours the party out of the White House: in the last six midterms the president's party lost House seats five times, by as many as 63 in 2010, with 2002 the exception.

Exhibit 7. House seats gained or lost by the president's party in midterm elections



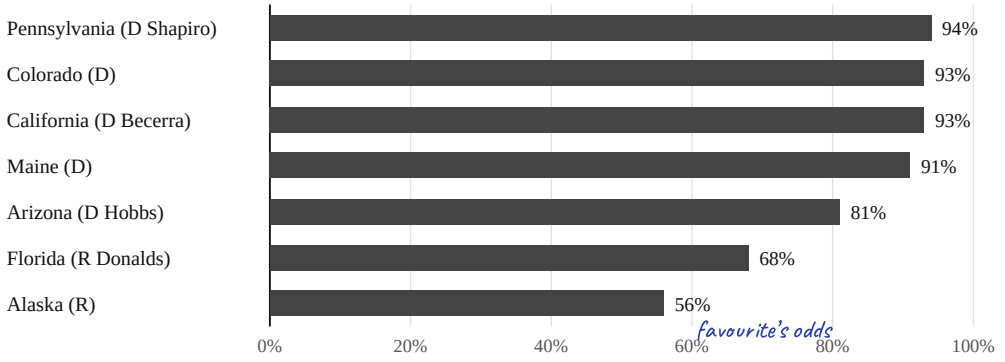
Sources: House election results as widely reported (rounded net changes).

4.5 Governors and Ballot Measures

36 governorships and a billionaire tax

Thirty-six states elect governors, including six of the seven presidential battlegrounds and 17 open seats. In Florida Republican Byron Donalds faces David Jolly, a former Republican congressman who joined the Democratic Party in 2025, to succeed Ron DeSantis; Kalshi gives Donalds about 68% on election day, down from about 80% in mid-October, and he has raised more than $140 million against about $20 million. Democrats are defending governorships in five states Trump won in 2024: Arizona, Kansas, Michigan, Pennsylvania and Wisconsin. On the ballot in California is a proposed tax on billionaires, one of the most closely watched measures for markets and for the technology industry.

Exhibit 8. Governor races: favourite and market-implied probability (%)



Sources: Kalshi (Florida, 3 November); Prediction Edge market prices for other states (earlier in the campaign, may have changed). Letters show the favourite's party.

5.0 The Issues

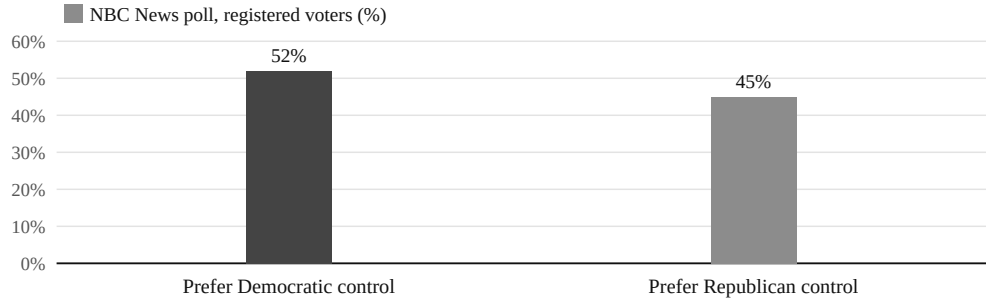
Why voters say they are voting

affordability

Inflation and the cost of living are the top issue in every major poll. NBC's final survey found three in four voters dissatisfied with the economy, including 53% of Republicans, and 64% saying the president had fallen short of their expectations. Democrats have campaigned against tariffs and the cost of the Iran war, which pushed gasoline above $4 a gallon, and on healthcare costs: a New York Times/Siena poll found 51% trust Democrats more on the economy against 45% for Republicans, and 42% against 22% on healthcare costs. Republicans have campaigned on the 2025 tax law, with tax breaks on tips, overtime and some Social Security income, on border security, where they retain an advantage, and on lower prescription drug prices. President Trump has called the polls inaccurate, and Republicans are on track to spend more than $1 billion on Senate advertising, about twice as much as Democrats, according to Bloomberg.

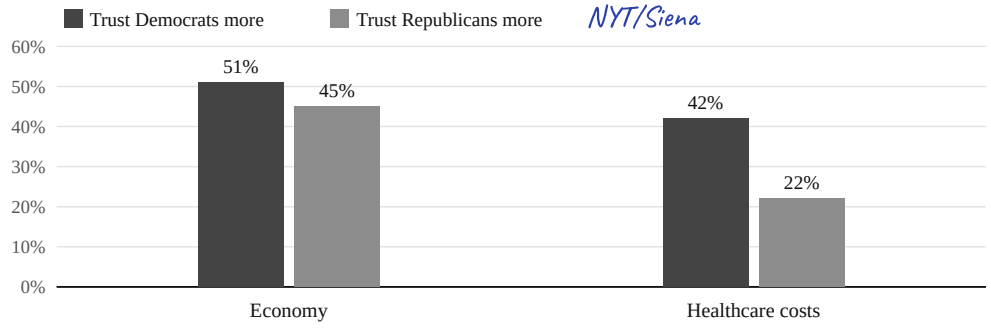
~53%

Exhibit 9. Congressional preference, final NBC News poll (%)



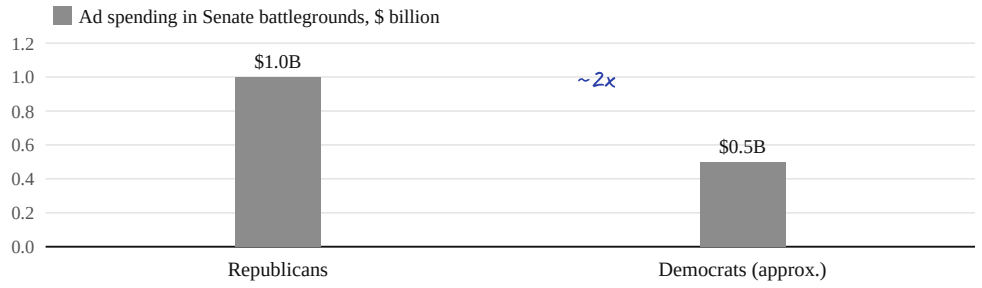
Source: NBC News poll of 1,000 registered voters, November 2026.

Exhibit 10. Which party voters trust more (%)



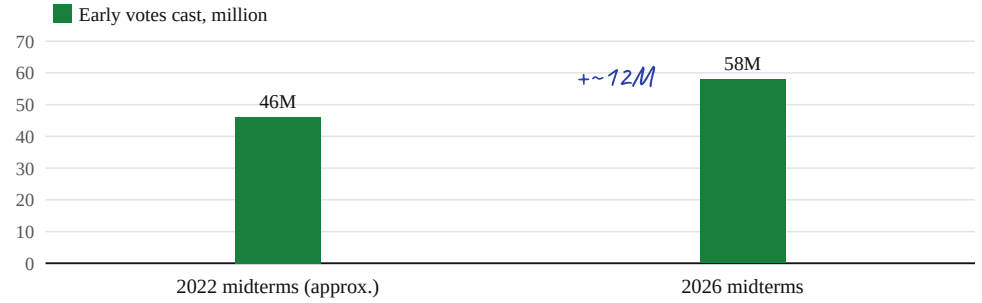
Source: New York Times/Siena College poll via The New Arab, October 2026.

Exhibit 11. Senate battleground ad spending ($ billion)



Source: Bloomberg (Republicans on track for more than $1 billion, nearly twice Democrats). Democratic figure approximate.

Exhibit 12. Early votes cast (million)



Source: UF Election Lab via MS NOW (58 million, up nearly 12 million from 2022). 2022 derived.

6.0 The Economic Backdrop

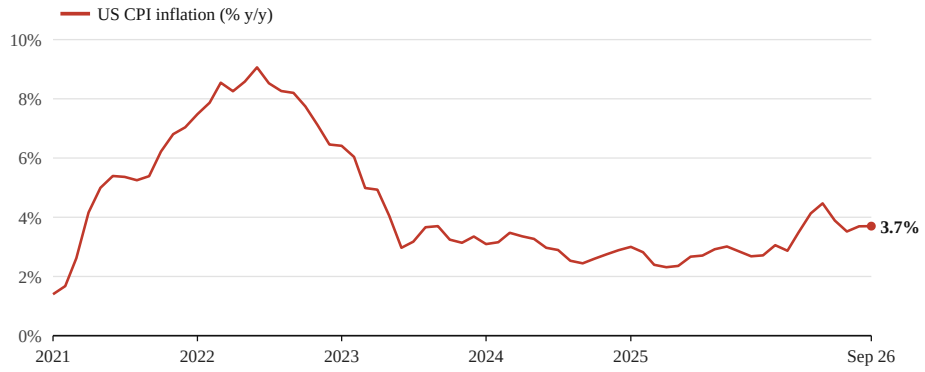
An election held in an oil shock

~2.4%

CPI 3.7%, Brent >$100

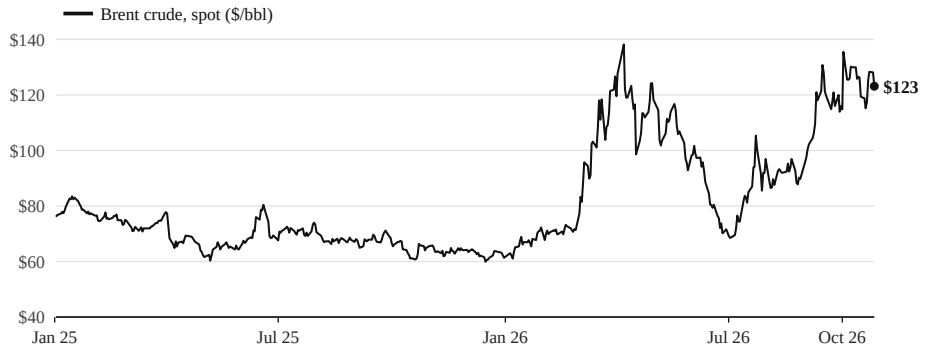
This is the first federal election since the war with Iran began on 28 February. US inflation rose from about 2.4% in February to roughly 4.3% in May and was 3.7% in September; Brent spot has spent most of the autumn above $100; the Fed raised rates in September and held at 3.75% to 4% on 28 October with two votes for a hike; and job growth slowed to 29,000 in September. Consumer sentiment is near record lows at 48.0. Midterms held during inflation shocks have historically punished the party in power, which is one reason markets price a change of control.

Exhibit 13. US CPI inflation since 2021 (% year on year)



Sources: BLS CPI-U via public dataset; September from BLS.

Exhibit 14. Brent crude oil, spot, since January 2025 ($ per barrel)



Source: EIA daily spot prices.

7.0 Election Night

What to watch, hour by hour (ET / CET)

results take time

Polls start closing at 18:00 ET (00:00 CET) in parts of Indiana and Kentucky and the last close in Alaska at 01:00 ET (07:00 CET). The first big wave comes at 19:00 and 19:30 ET with Georgia, South Carolina, North Carolina and Ohio; the busiest hour is 20:00 ET, when 21 states and Washington DC close, including Maine and most of Texas, Kansas and Michigan; at 21:00 ET Iowa, Nebraska and the rest of Texas, Kansas and Michigan close. Some states will be slow: Maine does not centrally report results on election night, Iowa reports absentee ballots first, which can produce an early Democratic lead, and Alaska expects its first report around 01:00 ET. Analysts flag Johnson County in Kansas, Collin County in Texas and Dubuque County in Iowa as places to watch. Senate control may not be known tonight.

Exhibit B. Poll closings and key races (last polls in each state)

ET	CET	States closing	Key races
18:00	00:00	parts of Indiana, Kentucky	early House races
19:00	01:00	Georgia, South Carolina, Virginia, Vermont; most of Florida	Senate: GA, SC; Florida governor
19:30	01:30	North Carolina, Ohio, West Virginia	Senate: NC, OH
20:00	02:00	21 states + DC incl. Maine, Pennsylvania, most of Texas, Kansas, Michigan	Senate: ME; House: PA-1
21:00	03:00	Iowa, Nebraska, Arizona, New York, Wisconsin, Minnesota; rest of TX, KS, MI	Senate: TX, KS, MI, IA, NE
22:00	04:00	Montana, Nevada, Utah, parts of Idaho, Oregon	House: MT-1
23:00	05:00	California, Washington	House seats; California billionaire tax
01:00	07:00	Alaska	Senate: AK; first report ~01:00 ET

Sources: CNBC (Associated Press), CBS News, CNN, Decision Desk HQ. Spain is on CET (ET + 6 hours) after both clock changes.

~50%

red and blue shifts

How the count unfolds. Early returns can mislead. States that count mail and early ballots first, such as North Carolina, Georgia and Iowa, may show an early Democratic lead that narrows as Election Day votes arrive; states that count Election Day votes first can show the opposite. Ranked-choice states, Maine and Alaska, need further rounds if no candidate passes 50%. Close races can go to recounts. Media projections are not official results; states certify over the following weeks.

8.0 Markets and Midterms

What history shows

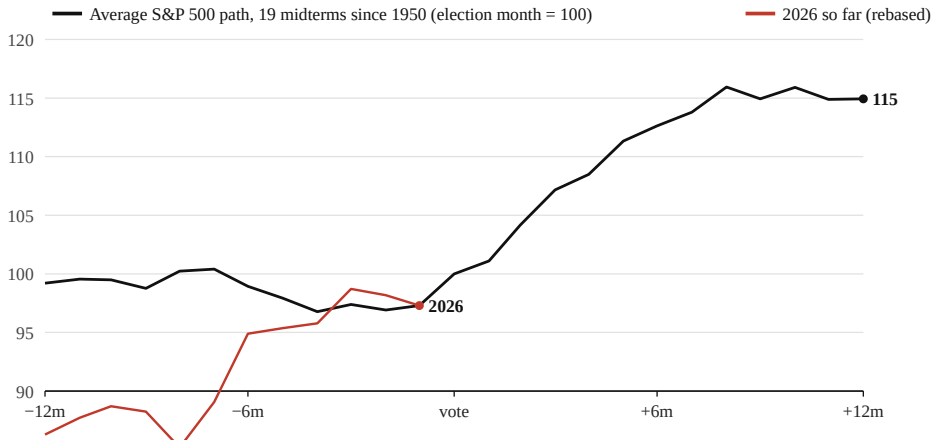
18 of 19

~1.4%

Our calculation on monthly S&P 500 data shows the index rose in the twelve months after 18 of the 19 midterms since 1950, by about ~15% on average; the exception was 1986, flat after the 1987 crash. JPMorgan Asset Management reports gains in the year after every midterm since 1950 on its measure. Investing.com notes a median gain of 1.4% from Election Day to year-end. Morgan Stanley finds that under Republican presidents the S&P 500 averaged 23% in the year after midterms when Congress

was split, against 16% when Democrats controlled both chambers. 2026 has broken the usual pre-election pattern: the index rose into the vote instead of falling, which leaves less of the usual discount to unwind.

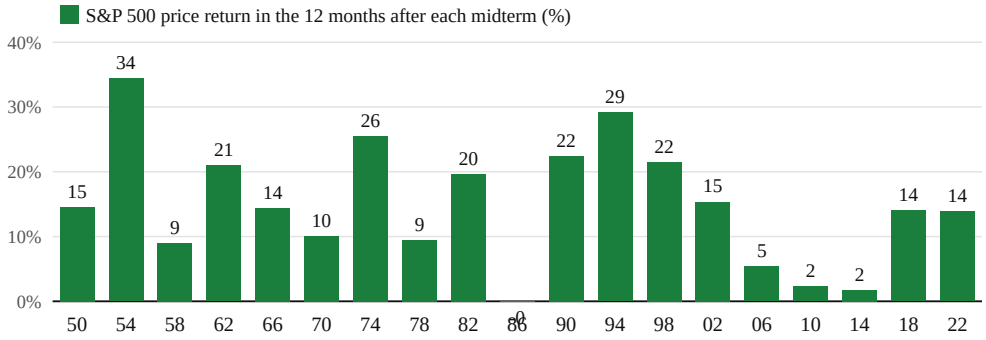
Exhibit 15. Average S&P 500 path around midterm elections



the usual shape

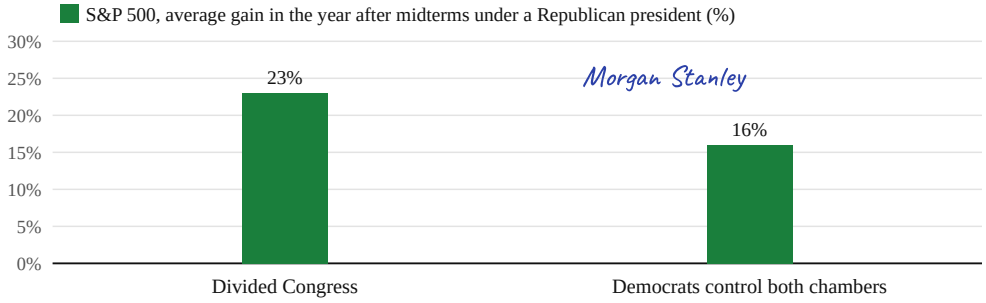
Source: S&P 500 monthly averages (Shiller data) to September 2026, October approximated at 7,600; Andra Markets calculations. 19 midterms, 1950-2022.

Exhibit 16. S&P 500 return in the 12 months after each midterm, 1950-2022 (%)



Source: S&P 500 monthly averages (Shiller data); Andra Markets calculations. Labels are election years.

Exhibit 17. S&P 500 in the year after midterms under a Republican president (average, %)



Source: Morgan Stanley analysis via CNBC, 2 November 2026.

Exhibit C. Midterms since 1950: result for the president's party and the market a year later

Year	President's party	House seats	S&P 500, next 12 months
1950	D	−28	+14.5%
1954	R	−18	+34.4%
1958	R	−48	+9.0%
1962	D	−4	+21.0%
1966	D	−47	+14.4%
1970	R	−12	+10.1%
1974	R	−48	+25.6%
1978	D	−15	+9.5%
1982	R	−26	+19.6%
1986	R	−5	-0.0%
1990	R	−8	+22.4%
1994	D	−54	+29.2%
1998	D	+5	+21.5%
2002	R	+8	+15.4%
2006	R	−30	+5.4%
2010	D	−63	+2.3%
2014	D	−13	+1.8%
2018	R	−40	+14.0%
2022	D	−9	+13.8%

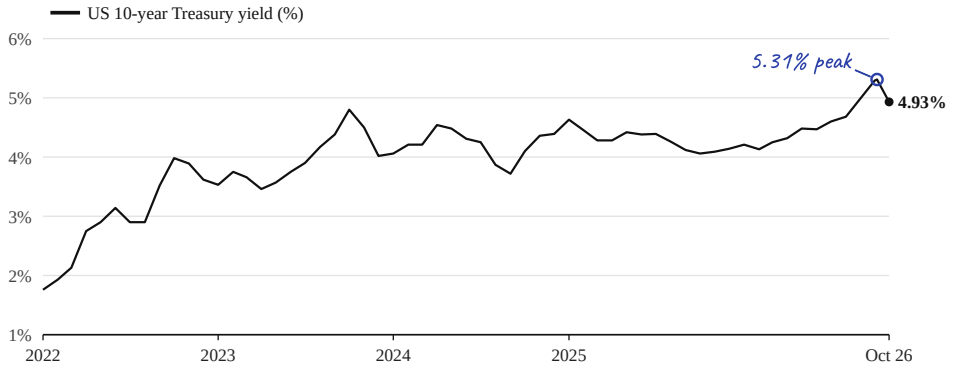
Sources: House results as widely reported (net change for the president's party, rounded); S&P 500 monthly averages (Shiller data), Andra Markets calculations.

bonds: the fiscal channel

Bonds may react more than stocks. The ten-year Treasury yield reached 5.31% on 5 October, its highest since 2002, and was 4.93% on 30 October. Strategists argue that divided government tends to cool expectations of fiscal expansion, which can lower long-term yields, while a single-party Congress raises the odds of larger tax or spending bills. Divided government also raises the risk of disputes over government funding and the debt ceiling. The Fed's December decision and the jobs report on 6 November are likely to matter more for yields than the election itself.

~5.3%

Exhibit 18. US 10-year Treasury yield since 2022 (%)



Sources: Federal Reserve via public dataset; Stock Market Watch; Forbes Advisor.

9.0 Sections

Where the result matters most

~19%

Strategists agree the result matters more for sectors than for the index. Citi calls it a "non-event" for S&P 500 fundamentals and suggests that a Congress that curbed tariff and war powers could even be positive; it sees slim odds that legislation derails the AI trade, given the presidential veto. Healthcare, up more than 19% this year, is the most debated: analysts cited by CNBC expect hospitals and insurers

sector bets, not index

such as HCA, Tenet, UnitedHealth and Centene to benefit from a Democratic Congress focused on subsidies, while TD Cowen sees limited risk of structural reform. Defence could face budget scrutiny, although backlogs are at records because of the Iran conflict and bipartisan support for China deterrence, nuclear modernisation and missile defence is strong. State Street sees industrials and financials as most exposed to a Democratic sweep; Morgan Stanley lists defence and financials among sectors a divided Congress may favour. Energy remains tied to the war: CNBC notes the risk that hostilities resume after the vote.

Exhibit D. Sector sensitivities by outcome, as described by strategists

Sector	Democratic sweep	Divided Congress	Republican sweep	Source
Healthcare	subsidy focus; hospitals, Medicaid insurers	limited change	status quo	CNBC; TD Cowen
Defence	budget scrutiny	bipartisan core programmes	spending support	CNBC; Morgan Stanley
Financials	regulatory easing slows	favoured	deregulation continues	State Street; Morgan Stanley
Tech / AI	regulation risk, veto limits it	gridlock; lower yields help	AI-friendly policy	Citi; TradingKey
Energy	oversight of fuel prices	little change	production agenda	Andra 2026-71; CNBC
Trade-exposed	pressure on tariffs, executive power remains	executive tariffs continue	tariffs continue	Citi; CFR

Sources as listed, 2-3 November 2026. Descriptions of strategists' views, not recommendations.

10.0 What Each Party Says It Would Do

In their own words

House Democrats have prepared a 100-days agenda focused on affordability and oversight, including measures to reverse the administration's tariffs, an enhanced child tax credit, permanent health-care subsidies, hearings on fuel prices and extensive investigations of the administration. Republicans are campaigning on their record and plans: the 2025 tax cuts, including no tax on tips and overtime, border security, expanded domestic energy production and lower drug prices. Whatever the result, President Trump keeps his veto and broad executive authority over tariffs, immigration and regulation, so a Democratic Congress would change oversight, budgets and the legislative calendar more than the law itself. Analysts also warn that divided government can bring disputes over government funding and the debt ceiling.

11.0 Scenarios

What each outcome could mean

Exhibit E. Outcomes, market-implied odds and market channels

Outcome	Kalshi	Policy implication	Market channels to watch
Democratic sweep	75%	tariff and affordability bills pass Congress but face a veto; intense oversight	healthcare, defence, financials, tariff-exposed sectors
Dem. House, Rep. Senate	20%	legislative gridlock; House oversight; nominations still confirmed	historically supportive; Treasury yields on fiscal outlook
Republican sweep	6%	continuity of tax, energy and deregulation agenda	financials, energy, AI; fiscal expansion and yields
Rep. House, Dem. Senate	1%	split Congress	n.a.
Delayed or disputed counts	n.a.	uncertainty for days in close races	volatility; safe-haven demand

Kalshi prices as of 3 November 2026; policy implications as stated by the parties and strategists. No outcome is attributed to market performance.

12.0 After Tonight

The calendar

Exhibit F. What comes next

Date	Event	Why it matters
4 Nov	first results; possible Senate call	control and margin
5 Nov	Bank of England decision	global rates
6 Nov	US October jobs report	economic backdrop
9-10 Nov	US-China truce legal deadlines	first trade test after the vote
Mid-Nov	close counts; Alaska ranked-choice tabulation	final Senate seats
17 Nov	Nvidia results	AI trade
9 Dec	Fed decision	second hike of 2026?
3 Jan 2027	new Congress sworn in	start of any 100-days agenda

Andra Markets selection; dates from official calendars and press reports.

reading: the House looks priced, the Senate does not. tonight decides the margin; history rewards the uncertainty clearing, not either party

Methodology and Source Notes

Method. This guide summarises prediction-market prices, forecast models, polls and strategist views published up to the afternoon of 3 November 2026, together with historical S&P 500 data and each party's stated agenda. Polls closed after publication; for results, follow the Associated Press and official state sources. It takes no position on the election and does not predict the result. Scenario descriptions are not recommendations. Handwritten notes and highlights are informal commentary by the desk. This note is analysis, not investment advice.

Principal sources. Kalshi; Polymarket; Decision Desk HQ; RealClearPolitics; Poliwave; NBC News; New York Times/Siena via The New Arab; Bloomberg; CNBC; CNN; CBS News; MS NOW; UF Election Lab; Wolfe Research; Morgan Stanley; Citi; JPMorgan Asset Management; State Street; TD Cowen; BTIG; Investing.com; Quartz; Rotowire; Oddschecker; PredictionOdds; Shiller data; BLS; EIA; Andra Markets 2026-71 and 2026-74.

Disclaimer

This document is produced by Andra Markets Global Markets Research for informational and educational purposes only. It is not investment, legal, accounting or tax advice, and it is not an offer, solicitation or recommendation to buy, sell or hold any security or financial instrument. Figures are drawn from public sources believed to be reliable but are not independently verified. Views are those of the desk at publication and may change without notice. Past performance is not indicative of future results. Andra Markets accepts no liability for any loss arising from the use of this material.